



**DATADOG INC**

**OUTPERFORM**

CLOSING PRICE\* USD98.7 ■ TARGET PRICE **USD170** (UPSIDE 72%)

**DYNATRACE INC**

**NEUTRAL**

CLOSING PRICE\* USD47.3 ■ TARGET PRICE **USD62** (UPSIDE 31%)

FLASH NOTE

## Feedback from our quarter-end calls with DDOG and DT

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### What happened?

Over the last 24 hours, we met with our infrastructure software IR teams ahead of quarter-end to get an update since they reported earnings in February, providing context around macro, guidance philosophy, and in some cases views on their consumption business. Please [reach out to us](#) for a catch up, we have some availability on Monday. In terms of a key takeaway: Overall we feel Datadog's guidance is more conservative vs. market expectations.

### Dynatrace call provided context of ODC vs. ARR

FX was less of a topic but as expected ODC vs. ARR, DOGE and overall macro were the favorite topics on this quarter end call. In terms of the most frequently discussed topic, ARR vs. ODC: 1) While visibility into customer behavior is low, the company expects similar seasonality of ODC in FY25 (so not a sequential uptick in F1Q); 2) Renewals are more back half weighted; and 3) management expects to continue to issue an ARR metric for now as it is part of how they track their business internally (i.e. sales comp). IR clarified recent investor day comments that the changes in go-to-market are in their '3<sup>rd</sup> or 4<sup>th</sup> inning' were not a reflection of large changes to customer segmentation/sales allocation but more tied to the ramp up, which will contribute in FY26 but more fully in FY27. So far the company does not see yet any impact to its federal business (low-single digit) from DOGE or from the recent tariffs to its enterprise/commercial base but the latter may create uncertainty in terms of customer buying decisions. On OPM, Q4 margins are the lightest and should not be used as a reference for FY26. On FCF, the company expects a small positive impact to FY26 cash taxes from the IP migration but with a larger impact to FY27.

### Datadog call: Focus on FY guidance, AI native customers, macro, operating leverage and initial guidance

As expected, most questions focused on the volatility of AI native customers (given this cohort is new and highly concentrated), and how management framed its FY25 guidance. On its FY guidance, while at a high level its philosophy is unchanged, we came away feeling that management took a more conservative approach to the contribution from its AI-native customer base. Further, we expect NRR is likely to tick down vs. Q4 levels of high-110s. Specific to the AI-native customer base, Datadog highlighted that they use APM and other products in addition to LLM monitoring, which historically benefit from high gross retention and may allay fears of them converting to in-house observability tools. The comment on in-house vs. Datadog was relevant to the 5 or 6 biggest tech companies that have always used in-house observability. Outside of AI, the level hiring will likely continue after a pull back during COVID-19 pandemic, given its hiring spree of quota carriers recently, which is consistent with our [headcount analysis](#) (please [reach out to us](#) for the data). Our report [DATADOG INC: Can DDOG revenue accelerate ex-AI?](#) found this hiring could help turn around the deceleration of organic revenue as they ramp but may not help the pace of margin expansion near term. To answer macro volatility questions, the company pointed us to overall internet traffic as a good proxy for usage trends on the platform.

# Investment case, valuation and risks

## Datadog Inc (Outperform, Target Price USD170)

### **Investment case**

We rate Datadog (DDOG) with an Outperform rating. As one of the leading observability platforms that is set to benefit from AI, DDOG has successfully expanded its platform to capture new markets and deliver one of the most efficient growth models in our coverage.

### **Valuation methodology**

We value DDOG at \$170/sh, which implies 15x CY26 EV/sales or 1.8% FCF yield.

### **Risks**

#### *To the upside:*

If the company rapidly releases new products faster than expected, it could quickly gain share vs. competitors and accelerate the company's growth trajectory. We note the company's growth in CY24 is matching this scenario.

#### *To the downside:*

If the products fail to gain traction and the market for observability tools gets more competitive, DDOG's growth could decelerate to 20% in CY25. Margins are also likely to be impacted by the loss in revenue.

## Dynatrace Inc (Neutral, Target Price USD62)

### **Investment case**

DT has a long history as an enterprise grade Observability platform that will benefit from rising complexity in customer IT stacks and its expansion in security but we believe it is best to stay on the sidelines for now until its new sales strategy has time to adjust.

### **Valuation methodology**

We value DT at \$62/sh, which implies 9x CY25 EV/sales or 2.5% FCF yield.

### **Risks**

#### *To the upside:*

If the company's sales force ramps up faster than expected, it could quickly gain share vs. competitors and accelerate the company's growth trajectory.

#### *To the downside:*

If the sales force struggles to win share and the market for observability tools gets more competitive, DT's growth could decelerate to 10% in CY25. Margins are also likely to be impacted by the loss in revenue.